

FEDERAL MARITIME COMMISSION

C.V. INT'L SERVICES LLC, *INTENT TO DENY AN OCEAN*
TRANSPORTATION INTERMEDIARY APPLICATION

DOCKET NO. 22-10

REPLY BRIEF OF THE BUREAU OF ENFORCEMENT

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REPLY BRIEF OF THE BUREAU OF ENFORCEMENT

I. INTRODUCTION

This is a license revocation proceeding where the primary issue is whether an application for an ocean transportation intermediary's (OTI) license should be denied based on the applicant's character. Based on the facts presented herein, denial of the license application of C.V. Int'l Services LLC (CV Int'l or applicant) is clearly warranted by the Shipping Act of 1984 (Shipping Act), Federal Maritime Commission (Commission) regulations, and established legal precedent.

II. PROCEDURAL HISTORY

On March 11, 2022, the Commission's Bureau of Certification and Licensing (BCL) issued a Notice of Intent to Deny the OTI license application of C.V. Int'l on the basis that the applicant did not possess the necessary character to provide OTI services. On March 28, 2022, the applicant, via e-mail, requested a hearing to rebut the Commission's intent to deny its OTI application. On March 31, 2022, the Secretary transmitted the hearing request to the Office of the Administrative Law Judges (ALJ or Presiding Officer). On April 12, 2022, the Presiding Officer served a Notice and Initial Order regarding the procedures applicable for a hearing. On May 12, 2022, the Commission's Bureau of Enforcement (BOE) made a timely filing as required by 46 C.F.R. § 502.702(b). Pursuant to Rule 703, C.V. Int'l was notified of its right to file a response, 46 C.F.R. § 502.703. The applicant was provided an opportunity to file a brief with legal arguments, proposed findings of fact, additional information, and any requests for confidential treatment as well as an appendix with supporting documents. The applicant's response was due by June 17, 2022. 46 C.F.R. § 502.703(a), *C.V. Int'l Services LLC, Intent to Deny an Ocean Transportation Intermediary Application*, 2022 FMC LEXIS 206. C.V. Int'l did not file a response before, on, or after the due

date of June 17, 2022. BOE respectfully submits its reply per 46 C.F.R. § 502.704¹ in support of the BCL notice of intent to deny C.V. Int'l Services LLC a license to provide OTI services, 46 C.F.R. § 515.11.

III. PROPOSED FINDINGS OF FACT

PFF 01: Applicant, C.V. Int'l Services LLC d/b/a C.V. Int'l Ocean Services is a Florida limited liability company, organized in 2021, with the principal owner located at 4803 NW 7th Street, Miami, Florida 33126. BCL Analyst Michael P. Sumrall's Verified Statement (Sumrall VS) ¶ 4.

PFF 02: On or about July 14, 2021, BCL received a Form FMC-18 application via its Message Center on the behalf of C.V. Int'l submitted by Mr. Christian Velazquez, as Manager, and proposed Qualified Individual (QI) of the applicant. *Id.* ¶ 5.

PFF 03: On or about July 14, 2021, BCL accepted for filing and processed the Form FMC-18 from C.V. Int'l utilizing standard procedures. *Id.* ¶ 6.

PFF 04: This is the first time CV Int'l has submitted a Form FMC-18 to the Commission to obtain an OTI license. *Id.* ¶ 5.

PFF 05: Mr. Christian Velazquez is the proposed Qualified Individual (QI) for CV Int'l. *Id.* ¶ 5.

PFF 06: On or about July 15, 2021, a background check revealed that Mr. Velazquez has a felony conviction for trafficking in cocaine and other arrests. *Id.* ¶¶ 7-8.

¹ Subpart X Hearing Procedures Governing the Denial, Revocation, or Suspension of an OTI License, 85 Fed. Reg. 5580, 5581 is to provide "additional structure while ensuring a low-burden and efficient process" for license hearing processes.

PFF 07: Mr. Velazquez denied any criminal activity in his Form FMC-18 and certified “under penalties of perjury, I declare that I have examined this application and to the best of my knowledge and belief, it is true, correct and complete.” *Id.* ¶¶ 8, 10, 13, 20.

PFF 08: On or about July 15, 2021, an “Acknowledgement Letter” was sent to Mr. Velazquez via the Message Center requesting, among other things, the declaration of all prior criminal convictions and documentation demonstrating the resolution of all prior criminal convictions. *Id.* ¶ 9.

PFF 09: On or about July 15, 2021, Mr. Velazquez submitted a revised Form FMC-18 via the Message Center for C.V. Int’l. No prior criminal convictions were disclosed. *Id.* ¶ 10.

PFF 10: On or about July 23, 2021, Mr. Velazquez received a request via the Message Center, to, among other things, update the Form FMC-18, Part D, Question 13 and to indicate all prior criminal convictions. *Id.* ¶ 11.

PFF 11: On or about July 29, 2021, Mr. Velazquez submitted a third revised Form FMC-18 for C.V. Int’l. No prior criminal convictions were disclosed. *Id.* ¶ 12.

PFF 12: On or about August 4, 2021, Mr. Velazquez stated via the Message Center “I have never been convicted of anything, I have just have been arrested for some things in the past, and dismissed in court.” *Id.* ¶ 13.

PFF 13: On or about August 4, 2021, Mr. Velazquez provided court documents relating to criminal activity in Miami-Dade County, Florida. *Id.* ¶ 13.

PFF 14: On or about August 5, 2021, the BCL analyst sent Mr. Velazquez a second acknowledgement letter via the Message Center. In the letter the analyst addressed deficiencies in his application; specifically, the criminal charges and related criminal activity in Broward Country, Florida i.e., cocaine trafficking and possession of a weapon. *Id.* ¶¶ 14-15.

PFF 15: On or about August 5, 2021, the BCL analyst placed a phone call to Mr. Velazquez and requested he address the issues in the acknowledgment letter no later than August 12, 2021. *Id.* ¶ 15.

PFF 16: On or about August 5, 2021, Mr. Velazquez acknowledged the request to provide all criminal records via the Message Center. *Id.* ¶ 16.

PFF 17: On or about August 6, 2021, the BCL analyst requested, via the Message Center, and Mr. Velazquez provided information relating to all crimes for which he has been charged or convicted. *Id.* ¶ 17.

PFF 18: On or about August 13, 2021, Mr. Velazquez submitted court documentation from Broward County, Florida that revealed he pleaded “no contest” to trafficking in cocaine. Two other charges, conspiracy to traffic in cocaine and carry a concealed weapon, were *nolle prosequi*. *Id.* ¶ 18.

PFF 19: On or about August 20, 2021, Mr. Velazquez submitted documents and made a statement via the Message Center referring to document submission as “disposition paperwork” for the criminal activity in Broward County, Florida. *Id.* ¶ 19.

PFF 20: On or about August 23, 2021, Mr. Velazquez submitted a revised Form FMC-18 wherein Mr. Velazquez indicated and attested to the statement that “he had never been arrested, charged, convicted of any felony, misdemeanor, or other violation.” *Id.* ¶ 20.

PFF 21: On or about August 24, 2021, the BCL analyst requested Mr. Velazquez to make minor updates to CV Int’l’s application. The requested changes did not relate to the criminal activity. *Id.* ¶ 20.

PFF 22: On or about March 11, 2022, BCL issued a letter to Mr. Velazquez of its intent to deny CV Int’l’s OTI application. *Id.* ¶ 24.

IV. LEGAL ARGUMENT

A. Legal Standard and Burden of Proof

Section 19(a) of the Shipping Act, 46 U.S.C. § 40901, governs the licensing of OTIs. Section 19(a), 46 U.S.C. § 40901(a), provides in relevant part:

. . . a person in the United States may not advertise, hold oneself out, or act as an ocean transportation intermediary unless the person holds an ocean transportation intermediary's license issued by the Federal Maritime Commission. The Commission shall issue a license to a person that the Commission determines to be qualified by experience and character to act as an ocean transportation intermediary.

The Commission's implementing regulations, at 46 C.F.R. § 515.11, provide, in relevant part, to be eligible for an ocean transportation intermediary license, the applicant must demonstrate to the Commission that:

(a)(1) It possesses the necessary experience, that is, its qualifying individual has a minimum of three (3) years' experience in ocean transportation intermediary activities in the United States, and the necessary character to render ocean transportation intermediary services. . . .

(a)(2) In addition to information provided by the applicant and its references, the Commission may consider all information relevant to determining whether an applicant has the necessary character to render ocean transportation intermediary services, including but not limited to, information regarding: Violations of any shipping laws, or statutes relating to the import, export, or transport of merchandise in international trade; operating as an OTI without a license or registration; state and federal felonies and misdemeanors; . . .

The Commission's implementing regulations at 46 C.F.R. § 515.15 provide in relevant part that a license may be denied if the Commission determines, because of its investigation, that the applicant:

- (a) Does not possess the necessary experience or character to render intermediary services;
- (b) Has failed to respond to any lawful inquiry of the Commission; or
- (c) Has made any materially false or misleading statement to the Commission in connection with its application; then, a notice of intent to deny the application shall be sent to the applicant stating the reason(s) why the Commission intends to deny the application.

BOE, as the proponent of an order denying the license of CV Int'l, has the burden of proof or persuasion. See *Director, Office of Workers' Compensation Programs v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). BOE must prove its case by a preponderance of the evidence. *Portman Square Ltd. – Possible Violations*, 28 S.R.R. 80, 84 (ALJ 1998). A preponderance of the evidence means that the evidence makes the existence of a fact more probable than not. *William R. Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11, 15 (ALJ 1991). When direct evidence is not available and circumstantial evidence may be sufficient and it is also appropriate to draw inferences from certain facts. *Commonwealth Shipping Ltd., et al.—Submission of Materially False or Misleading Statements to the Federal Maritime Commission and False Representation of Common Carrier Vessel Operations (Commonwealth)*, 29 SRR 1408, 1412 (2003) (citing *Waterman Steamship Corps. v. General Foundries, Inc.*, 26 S.R.R. 1173, 1180 (ALJ 1993)).

In this case the applicant pleaded “no contest” for trafficking of cocaine and his failure to disclose related criminal misconduct (conspiracy to traffic in cocaine, carry a concealed weapon) in the Circuit Court of the Seventeenth Judicial Circuit in and for Broward County, Florida. PFF 07, PFF 18-19. Moreover, the applicant committed other criminal offenses according to the Circuit County Courts of the Eleventh Judicial Circuit of Florida in and for Miami-Dade County (disorderly conduct, unlawful assembly, youth/gang activity, burglaries, and battery). PFF 13. Furthermore, the applicant failed, on several occasions, to disclose his criminal activity in his OTI application, and he made a statement via the FMC-18 Message Center “I have never been convicted of anything, I have just have been arrested for some things in the past, and dismissed in court.” PFF 06-07, PFF 09, PFF 11-12, PFF 20.

Under Florida law a “no contest” plea constitutes a "conviction" even though adjudication of guilt was withheld. See *Montgomery v. State*, 897 So. 2d 1282 (Fla. 2005) (defendant's no contest

pleas with adjudication of guilt withheld constituted prior "convictions" under the sentencing guidelines); § 960.291(3), Fla. Stat. ("Conviction" means a guilty verdict by a jury or judge, or a guilty or *nolo contendere* plea by a defendant, regardless of adjudication of guilt). *Behm v. Campbell*, 925 So. 2d 1070, 1072, 2006 Fla. App. LEXIS 3453, *4.

B. The Denial of CV Int'l Services, LLC's OTI Application is Fully Warranted

There is longstanding Commission precedent supporting denial or revocation of a license where the entity has been found guilty of federal crimes or conduct implicating moral turpitude. In *G.R. Minon – Freight Forwarder License*, 12 F.M.C. 75, 82 (FMC 1968) the Commission denied a license where the “applicant knowingly cooperated in the diversion of [otherwise legal] drug shipments.” The Commission held that involvement with an illegal scheme, together with other indications of moral turpitude, provided sufficient evidence for lack of personal responsibility and a lack of character justifying the Commission’s denial of the application. *Id.* at 80-82. For example, in *Falcon Shipping Inc., Abdiel Falcon – Application for a License as an Ocean Transportation Intermediary*, 32 S.R.R. 382 (FMC 2012), 2002 FMC LEXIS 17, the Commission upheld the denial of a license application because the applicant lacked the requisite character for issuance of an OTI license based on the facts that the company’s principal and proposed QI had been convicted of smuggling under federal law. The Commission may consider all information relevant to determining whether an applicant has the necessary character to render ocean transportation intermediary services, including but not limited to: information regarding violations of any shipping laws, or statutes relating to the import, export, or transport of merchandise in international trade; operating as an OTI without a license or registration; state and federal felonies and misdemeanors. 46 C.F.R. § 515.11(a)(2) (2021). In *Washington Movers*, the Shipping Act allowed the Commission to revoke a license on finding that a licensee is unqualified,

and the regulations allowed it to consider the character of a qualifying individual. *In Re: Revocation of Ocean Transportation Intermediary License No. 017843 – Washington Movers, Inc.*, 1 FMC 2d 18 (2018).

BOE submits evidence in this proceeding that the Presiding Officer should deny CV Int'l's application because it lacks the necessary character to provide OTI services in the United States. The evidence demonstrates the applicant's principal, and proposed QI, lacks the necessary character to hold a license under the Shipping Act of 1984, 46 U.S.C. § 40903 (2019) because of his failures to disclose his "no contest" plea to trafficking of cocaine and failures to disclose "other" criminal activity in the OTI application. PFF 07, PFF 09, PFF 11-14, PFF 18-20. Compounding the situation, the applicant was afforded several opportunities to make a complete and honest statement in the Form FMC-18; however, Mr. Velazquez continued to make misleading statements to the BCL analyst and Mr. Velazquez failed to correct CV Int'l's Form FMC-18 after the BCL analyst told him that he was aware of the conviction for cocaine trafficking and other unrelated past criminal activity. PFF 08-12, PFF 14-17, PFF 19-20.

On the positive, taken in the most favorable light to applicant, within the Form FMC-18, there are references that support the proposition that Mr. Velazquez is technically qualified to possess an OTI license. BOE Exhibits 15-16, 18-19. The applicant has been described as "a very professional and driven individual." BOE Exhibit 15 (BOE 0196); "you [FMC] will not regret granting his request, . . .", BOE Exhibit 18 (BOE 0208); and, "yes, I would recommend Mr. Christian Velazquez of C.V. Int'l Services LLC, for an OTI/NVOCC license." BOE Exhibit 19 (BOE 0212). Unfortunately, the applicant's failure to provide accurate and truthful information in his application subsumes the positive and leads to only one conclusion, Mr. Velazquez does not "presently" possess the necessary character to hold an OTI license. PFF 22.

Denial of C.V. Int'l's application prevents Mr. Velazquez from holding an OTI license for a minimum of three years. *See* 46 C.F.R. § 515.18. However, such denial does not prevent the applicant from reapplying for an OTI license at a future date beyond that time. In the interim, BOE not only requests the OTI application be denied, but also that C.V. Int'l be directed to cease and desist any and all OTI activities.

V. CONCLUSION

BOE respectfully requests that the Presiding Officer uphold BCL's decision to deny CV Int'l's OTI license application. The evidence supports a finding that the applicant lacks the character necessary to hold an OTI license and to provide those services to the shipping public. C.V. Int'l offers nothing in rebuttal or mitigation for the Administrative Law Judge to consider in this case. It is undisputed that the applicant's QI pleaded guilty to trafficking of cocaine, a felony in the State of Florida. Additionally, the applicant and its QI failed to disclose other criminal activity, that may not have resulted in convictions. This failure likewise goes to the issue of character. For all these reasons including the fact that this information was not initially disclosed to the Commission, C.V. Int'l does not possess the character necessary to hold an OTI license.

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that a copy of the foregoing document was served upon Respondent by delivering the aforementioned document via email transmission this 7th day of July 2022.

Theron R.
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